

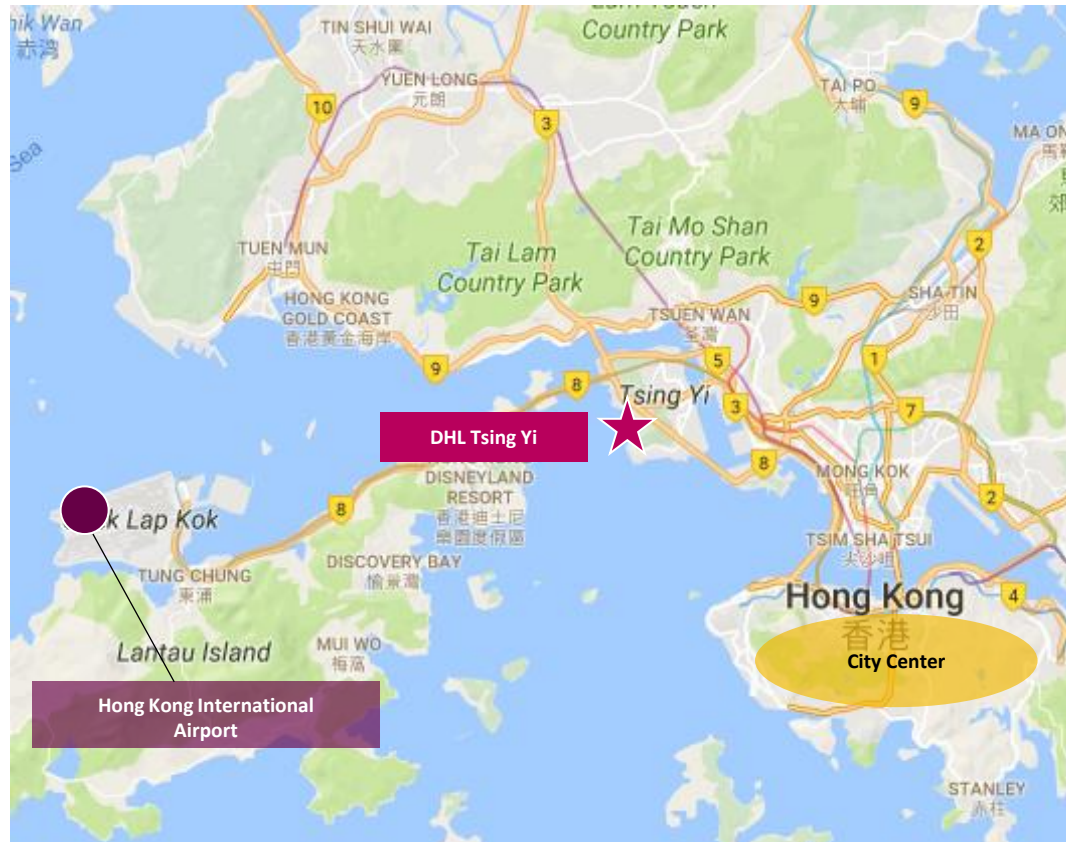
DHL Tsing Yi

Investment Memorandum

May 2021

Map

The potential 3mm sf ramped warehouse development is located in Tsing Yi, Hong Kong's most developed logistics hub.



Situation Overview

Blackstone and DHL Express are evaluating a potential opportunity to develop a \$1.1 bn / 3.0 mm sf ramped warehouse in Tsing Yi, Hong Kong to a 6.8% stabilized yield on cost.

► Background

- Trinseo, a global chemicals company, is looking to divest a factory located in Tsing Yi, Hong Kong's most established logistics hub
- The factory is held on a special leasehold which stipulates that the land cannot be transferred and the occupier must continue plastics manufacturing operations for the lease to remain effective
 - Trinseo has initiated the lease modification process to allow the land to be transferred and redeveloped into a warehouse
 - Government's approval and corresponding terms to amend the land lease has been completed by the end of Dec 2020. In the mean time, Trinseo needs to secure a buyer as government's approval is contingent upon the buyer's design plans
- Trinseo is seeking a potential buyer to take over the lease modification process. In exchange for the buyer incurring design / consultancy costs (c. \$645K), Trinseo will give buyer exclusivity to acquire the site
- Blackstone plans to establish a 90 / 10 JV with DHL to acquire the site. DHL will pre-lease at least 20% of area

► Investment Highlights

- 3.0 mm sf trophy warehouse development in Hong Kong
- DHL will pre-lease 20% of total area (5-year lease with extension options) and be a 10% shareholder

► BREP Basis / Returns

- BREP's all-in basis translates to \$1.1 bn TEV (HK\$2,889 psf GFA / \$373 psf GLA) and a 6.8% stabilized cap rate
- Assuming 65% LTV, returns would be 21.6% IRR and 2.7x MOIC

Trinseo Terms

Key Terms

Consideration

- ▶ HK\$450 mm (payable upon completion of lease modification)

Land Premium Limit

- ▶ HK\$2,454 mm (HK\$1,400 psf GFA)

Additional Consideration

- ▶ Payable if land premium is less than HK\$2,454 mm
- ▶ Up to HK\$150 mm (30% profit share with Trinseo)

CP to Closing

- ▶ Completion of lease modification no later than June 2021 at premium no more than premium limit
- ▶ Termination of Trinseo's employees and removal of all on-site equipment

**Earnest Money
(Refundable)**

- ▶ HK\$5 mm (Payable at MOU signing)

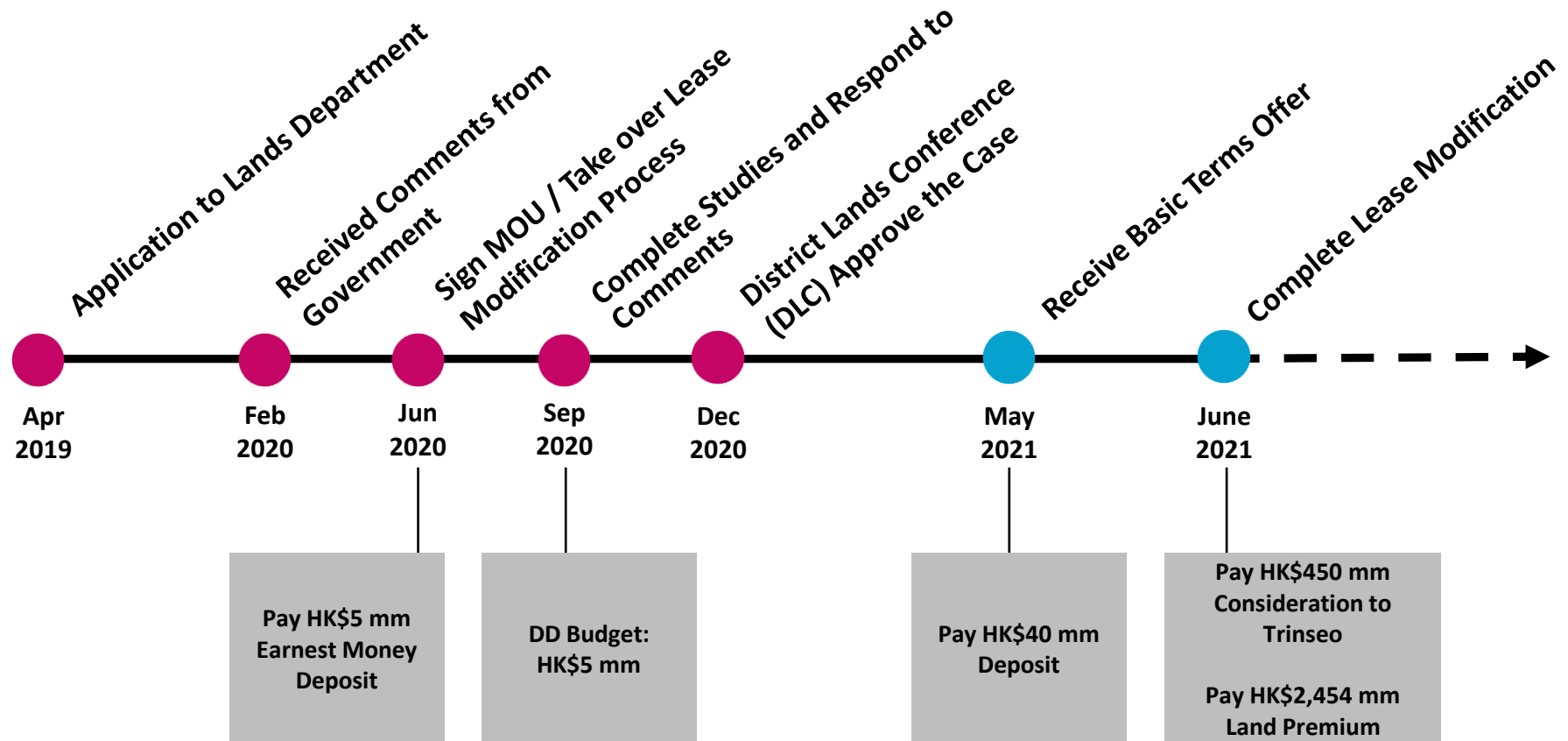
**Deposit
(Non-refundable)**

- ▶ HK\$40 mm (Payable in May 2021)

Interim Costs

- ▶ Borne by Blackstone / DHL (see next page for budget breakdown)

Indicative Timeline



DHL JV Terms

Key Terms

Shareholding

- ▶ 90% BREP / 10% DHL

Governance

- ▶ JV Co to appoint DHL as Development Project Manager
- ▶ ROFO: Both BREP and DHL have a right of first offer on customary terms should the JV Company decide to sell the Property
- ▶ Tag Along Rights: DHL has tag along rights should BREP decide to sell at least 50% of the total equity interests in the JV Company to a third party; BREP has the right to drag DHL's equity interests in the JV Company in connection with a change of control transaction

Fees to DHL

- ▶ Land Acquisitions Fee: 1.0% of Land Price (HK\$29 mm)
- ▶ Development Management Fee: 4.0% of construction Cost (HK\$182 mm)
- ▶ Completion Bonus: 1.0% of Construction Cost (HK\$46 mm)

DHL Lease

- ▶ 5-year Fixed + Two 5-year Extension Options⁽¹⁾
- ▶ Commit to lease 20% of space upon completion
- ▶ ROFR on additional 20% of space, must exercise within 12 months

(1) First renewal: 3% step-up; second renewal at market rates

Hong Kong Retail Market Overview

F&B, lifestyle brands and necessity focused retailers are now taking the lead in the leasing market. Some vacant or surrender space in core locations has been slowly absorbed over recent months. For instance, Foot Locker has opened its sixth store in Hong Kong by taking up the 20,000-sq ft space at Gala Place in Mong Kok, while Decathlon has opened 2 new stores in Central and Kowloon Bay

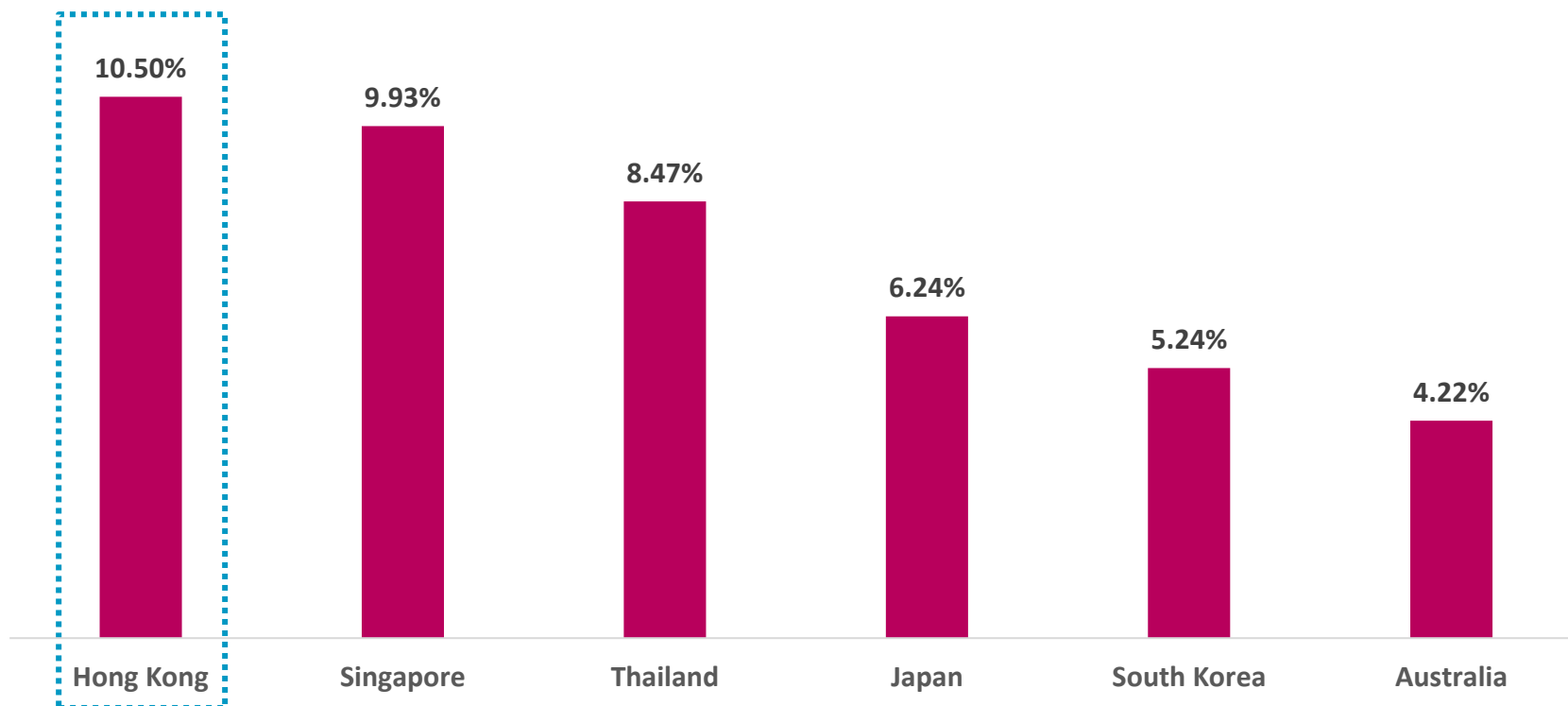
LOCATION (S)	PREVIOUS TENTS	NEW TENANT
Entertainment Building, Central	MCM	Decathlon
Entertainment Building, Central	Philipp Plein	Sweet Dreams by Heinemann
Melbourne Plaza, Central	Carlson Watch	Homebake (by Maxim's)
H Queen's, Central	-	Dang Wen Li by Dominique Ansel
100 QRC, Central	Oriental Watches	Don Don Donki
LHT Tower (B/F), Central	GAP	A lifestyle brand
Lee Garden Two, Causeway Bay	Moncler	NINETYs Roastery
Harbour City, Tsim Sha Tsui	Trussardi	Initial
Harbour City, Tsim Sha Tsui	Sony	Cupping Room Coffee Roasters
Harbour City, Tsim Sha Tsui	Hot No.1	Tamjar Mixian
Elements, West Kowloon	Coach	lululemon
Festival Walk, Kowloon Tong	Weekend by Max Mara	Saloon (a hair salon)



Hong Kong E-commerce Market Overview

Driven by growing consumer preference, emergence of new online shopping models and availability of customized payment solutions, Hong Kong e-commerce market is expected to witness the sharpest growth rate in revenue over the next few years versus other major metropolitan cities in Asia Pacific region

E-Commerce Annual Growth Rate (CAGR 2021-2025) Forecast

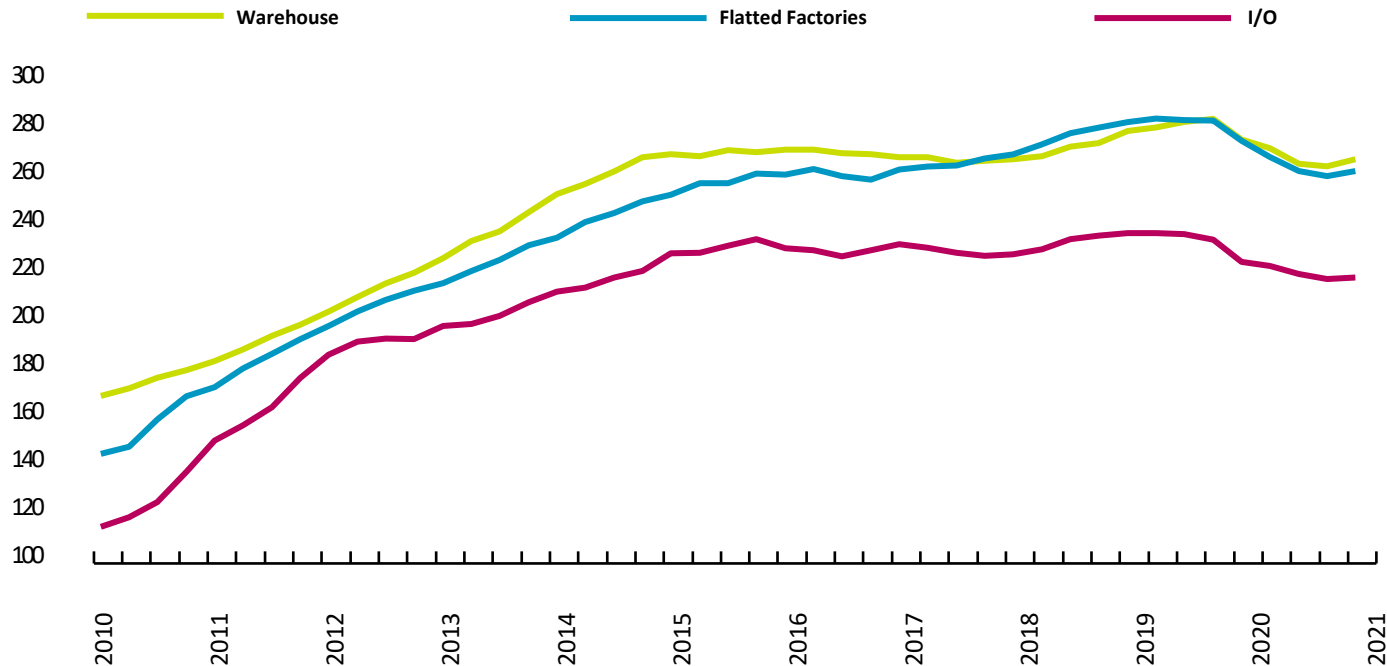


Hong Kong Warehouse Market Overview

Warehouse vacancy fell from 3.6% to 3.2% this quarter, the lowest since Q4 2019. Overall warehouse rents edged up by 1.1% q-o-q, the first increase since Q4 2019. Flatted factory rents registered growth of 0.7% q-o-q, ending six consecutive quarters of decline. With foreseeable rebound of global trading activity, potential rent recovery comes into view

Rental Index

Index (Q1 2000 = 100)



Sensitivity Analysis

Blackstone examined the output of a Sensitivity Analysis that compares how IRR/MOIC are affected based on changes of input variables, including LTC, purchase period, exit cap rate and holding period

► Exit Cap Rates & All-in Purchase Price

- With IRR targeted to achieve 30%+, Exit Cap Rate variation range recommended to be setup between 3.1% and 3.5% (no more than 3.7%), while maintaining the variance of All-in Purchase Cost assumption (\$2,904) within +10/-10%

Exit Cap Rate		All-in Purchase Price									
21.6% / 2.7x		2654	2704	2754	2804	2854	2904	2954	3004	3054	3104
3.1%		38.2% / 5.0x	37.8% / 5.0x	37.3% / 4.9x	36.9% / 4.8x	36.4% / 4.7x	36.0% / 4.7x	35.6% / 4.6x	35.1% / 4.5x	34.7% / 4.4x	34.3% / 4.4x
3.3%		35.9% / 4.6x	35.4% / 4.6x	35.0% / 4.5x	34.5% / 4.4x	34.1% / 4.3x	33.6% / 4.3x	33.2% / 4.2x	32.8% / 4.1x	32.4% / 4.1x	31.9% / 4.0x
3.5%		33.7% / 4.3x	33.2% / 4.2x	32.8% / 4.1x	32.3% / 4.1x	31.9% / 4.0x	31.4% / 3.9x	31.0% / 3.9x	30.6% / 3.8x	30.1% / 3.7x	29.7% / 3.7x
3.7%		31.6% / 3.9x	31.1% / 3.9x	30.7% / 3.8x	30.2% / 3.7x	29.8% / 3.7x	29.3% / 3.6x	28.9% / 3.6x	28.4% / 3.5x	28.0% / 3.4x	27.6% / 3.4x
3.9%		29.6% / 3.7x	29.1% / 3.6x	28.6% / 3.5x	28.2% / 3.5x	27.7% / 3.4x	27.3% / 3.3x	26.8% / 3.3x	26.4% / 3.2x	25.9% / 3.2x	25.5% / 3.1x
4.1%		27.7% / 3.4x	27.2% / 3.3x	26.7% / 3.3x	26.3% / 3.2x	25.8% / 3.1x	25.3% / 3.1x	24.9% / 3.0x	24.4% / 3.0x	24.0% / 2.9x	23.5% / 2.9x
4.3%		25.8% / 3.2x	25.3% / 3.1x	24.9% / 3.0x	24.4% / 3.0x	23.9% / 2.9x	23.5% / 2.9x	23.0% / 2.8x	22.5% / 2.8x	22.1% / 2.7x	21.6% / 2.7x
4.5%		24.0% / 2.9x	23.5% / 2.9x	23.1% / 2.8x	22.6% / 2.8x	22.1% / 2.7x	21.6% / 2.7x	21.2% / 2.6x	20.7% / 2.6x	20.2% / 2.5x	19.8% / 2.5x
4.7%		22.3% / 2.7x	21.8% / 2.7x	21.3% / 2.6x	20.8% / 2.6x	20.4% / 2.5x	19.9% / 2.5x	19.4% / 2.4x	18.9% / 2.4x	18.5% / 2.3x	18.0% / 2.3x
4.9%		20.6% / 2.6x	20.1% / 2.5x	19.6% / 2.5x	19.1% / 2.4x	18.7% / 2.4x	18.2% / 2.3x	17.7% / 2.3x	17.2% / 2.2x	16.7% / 2.2x	16.2% / 2.1x

► LTC & Construction Cost

- Assuming construction cost 2,600 HK\$ psf (+/-10%), we see IRR staying in a stable range (21% - 28%) as LTC increases by 5% after reaching 65%

LTC		Construction Cost (HK\$ psf)									
21.6% / 2.7x		2,400	2,450	2,500	2,550	2,600	2,650	2,700	2,750	2,800	2,850
95.00%		27.7% / 3.4x	27.2% / 3.3x	26.7% / 3.3x	26.2% / 3.2x	25.7% / 3.1x	25.3% / 3.1x	24.8% / 3.0x	24.3% / 3.0x	23.8% / 2.9x	23.3% / 2.9x
90.00%		27.7% / 3.4x	27.2% / 3.3x	26.7% / 3.3x	26.2% / 3.2x	25.7% / 3.1x	25.3% / 3.1x	24.8% / 3.0x	24.3% / 3.0x	23.8% / 2.9x	23.3% / 2.9x
85.00%		27.7% / 3.4x	27.2% / 3.3x	26.7% / 3.3x	26.2% / 3.2x	25.7% / 3.1x	25.3% / 3.1x	24.8% / 3.0x	24.3% / 3.0x	23.8% / 2.9x	23.3% / 2.9x
80.00%		27.7% / 3.4x	27.2% / 3.3x	26.7% / 3.3x	26.2% / 3.2x	25.7% / 3.1x	25.3% / 3.1x	24.8% / 3.0x	24.3% / 3.0x	23.8% / 2.9x	23.3% / 2.9x
75.00%		27.7% / 3.4x	27.2% / 3.3x	26.7% / 3.3x	26.2% / 3.2x	25.7% / 3.1x	25.3% / 3.1x	24.8% / 3.0x	24.3% / 3.0x	23.8% / 2.9x	23.3% / 2.9x
70.00%		26.0% / 3.2x	25.4% / 3.1x	24.9% / 3.0x	24.3% / 3.0x	23.8% / 2.9x	23.2% / 2.8x	22.7% / 2.8x	22.1% / 2.7x	21.6% / 2.7x	21.0% / 2.6x
65.00%		23.7% / 2.9x	23.2% / 2.8x	22.7% / 2.8x	22.2% / 2.7x	21.6% / 2.7x	21.1% / 2.6x	20.6% / 2.6x	20.1% / 2.5x	19.6% / 2.5x	19.1% / 2.4x
60.00%		21.9% / 2.7x	21.4% / 2.6x	20.9% / 2.6x	20.4% / 2.5x	20.0% / 2.5x	19.5% / 2.4x	19.0% / 2.4x	18.5% / 2.3x	18.1% / 2.3x	17.6% / 2.3x
55.00%		20.4% / 2.5x	19.9% / 2.5x	19.5% / 2.4x	19.0% / 2.4x	18.6% / 2.3x	18.1% / 2.3x	17.7% / 2.3x	17.3% / 2.2x	16.8% / 2.2x	16.4% / 2.1x
50.00%		19.1% / 2.4x	18.7% / 2.4x	18.3% / 2.3x	17.8% / 2.3x	17.4% / 2.2x	17.0% / 2.2x	16.6% / 2.2x	16.2% / 2.1x	15.8% / 2.1x	15.4% / 2.0x

Sensitivity Analysis (Cont'd)

► Exit Cap Rates & Market Rental Growth

- With the market rental growth forecasted to rise by 2%, we view IRR's potential of reaching 30%+ if Exit Cap Rate setting below 4%. In extreme cases, the collective effect of lower-than-expected market rental growth (< 2%) and high Exit Cap Rate (≥ 6%) may trigger low IRR (below 10%)

Exit Cap Rate	Market Rental Growth									
	6.0%	5.5%	5.0%	4.5%	4.0%	3.5%	3.0%	2.5%	2.0%	1.5%
21.6% / 2.7x										
3.75%	33.5% / 4.2x	32.9% / 4.1x	32.3% / 4.1x	31.7% / 4.0x	31.2% / 3.9x	30.6% / 3.8x	30.0% / 3.7x	29.4% / 3.6x	28.8% / 3.5x	28.2% / 3.5x
4.00%	31.1% / 3.9x	30.5% / 3.8x	29.9% / 3.7x	29.3% / 3.6x	28.7% / 3.5x	28.1% / 3.4x	27.5% / 3.4x	26.9% / 3.3x	26.3% / 3.2x	25.7% / 3.1x
4.25%	28.8% / 3.5x	28.2% / 3.5x	27.6% / 3.4x	27.0% / 3.3x	26.4% / 3.2x	25.8% / 3.1x	25.1% / 3.1x	24.5% / 3.0x	23.9% / 2.9x	23.3% / 2.8x
4.50%	26.6% / 3.2x	26.0% / 3.2x	25.3% / 3.1x	24.7% / 3.0x	24.1% / 2.9x	23.5% / 2.9x	22.9% / 2.8x	22.3% / 2.7x	21.6% / 2.7x	21.0% / 2.6x
4.75%	24.5% / 3.0x	23.8% / 2.9x	23.2% / 2.8x	22.6% / 2.8x	22.0% / 2.7x	21.4% / 2.6x	20.7% / 2.6x	20.1% / 2.5x	19.4% / 2.4x	18.8% / 2.4x
5.00%	22.4% / 2.8x	21.8% / 2.7x	21.2% / 2.6x	20.5% / 2.5x	19.9% / 2.5x	19.3% / 2.4x	18.6% / 2.3x	18.0% / 2.3x	17.3% / 2.2x	16.7% / 2.2x
5.25%	20.5% / 2.5x	19.8% / 2.5x	19.2% / 2.4x	18.6% / 2.3x	17.9% / 2.3x	17.3% / 2.2x	16.6% / 2.2x	15.9% / 2.1x	15.3% / 2.0x	14.6% / 2.0x
5.50%	18.6% / 2.3x	17.9% / 2.3x	17.3% / 2.2x	16.6% / 2.2x	16.0% / 2.1x	15.3% / 2.0x	14.6% / 2.0x	13.9% / 1.9x	13.2% / 1.9x	12.6% / 1.8x
5.75%	16.7% / 2.2x	16.1% / 2.1x	15.4% / 2.0x	14.7% / 2.0x	14.1% / 1.9x	13.4% / 1.9x	12.7% / 1.8x	12.0% / 1.8x	11.3% / 1.7x	10.6% / 1.7x
6.00%	14.9% / 2.0x	14.3% / 1.9x	13.6% / 1.9x	12.9% / 1.8x	12.2% / 1.8x	11.5% / 1.7x	10.8% / 1.7x	10.1% / 1.6x	9.3% / 1.6x	8.6% / 1.5x

► Hold Period, Construction Period, Exit Cap Rate, LTC & Lease-up Period

- While we believe Y4 of the Holding Period generates the highest IRR, long Construction Period, high Exit Cap Rate, low LTC and lengthy Lease-up Period may push down IRR and MOIC. To maximize the IRR in Y4, our proposal is summarized as follows:
 - Construction Period ≤ 32 months;
 - Exit Cap Rate ≤ 4%;
 - LTC ≥ 75%;
 - Lease-up Period ≤ 6 months

Construction Period	Hold Period				
	Yr 4	Yr 5	Yr 6	Yr 7	Yr 8
21.6% / 2.7x					
32 Months	25.6% / 2.5x	21.9% / 2.7x	19.6% / 2.9x	18.1% / 3.1x	16.7% / 3.3x
33 Months	25.3% / 2.5x	21.6% / 2.7x	19.3% / 2.9x	17.8% / 3.1x	16.6% / 3.3x
34 Months	25.0% / 2.4x	21.3% / 2.6x	19.1% / 2.8x	17.6% / 3.1x	16.5% / 3.3x
35 Months	24.7% / 2.4x	21.0% / 2.6x	18.8% / 2.8x	17.4% / 3.0x	16.3% / 3.3x
36 Months	25.5% / 2.5x	21.6% / 2.7x	19.4% / 2.9x	17.8% / 3.1x	16.9% / 3.4x
37 Months	23.6% / 2.3x	21.5% / 2.6x	19.3% / 2.9x	17.7% / 3.1x	16.8% / 3.4x
38 Months	19.3% / 2.0x	21.3% / 2.6x	19.1% / 2.8x	17.6% / 3.1x	16.6% / 3.3x
39 Months	14.5% / 1.7x	21.1% / 2.6x	18.9% / 2.8x	17.4% / 3.0x	16.4% / 3.3x
40 Months	8.8% / 1.4x	20.9% / 2.6x	18.7% / 2.8x	17.2% / 3.0x	16.3% / 3.3x
41 Months	1.9% / 1.1x	20.6% / 2.6x	18.5% / 2.8x	17.1% / 3.0x	16.1% / 3.2x

Exit Cap Rate	Hold Period				
	Yr 4	Yr 5	Yr 6	Yr 7	Yr 8
21.6% / 2.7x					
3.75%	35.3% / 3.4x	28.8% / 3.5x	25.0% / 3.8x	22.3% / 4.0x	20.6% / 4.4x
4.00%	31.9% / 3.0x	26.3% / 3.2x	23.0% / 3.4x	20.8% / 3.7x	19.3% / 4.0x
4.25%	28.7% / 2.7x	23.9% / 2.9x	21.2% / 3.1x	19.3% / 3.4x	18.1% / 3.7x
4.50%	25.5% / 2.5x	21.6% / 2.7x	19.4% / 2.9x	17.8% / 3.1x	16.9% / 3.4x
4.75%	22.5% / 2.3x	19.4% / 2.4x	17.7% / 2.6x	16.5% / 2.9x	15.7% / 3.1x
5.00%	19.6% / 2.0x	17.3% / 2.2x	16.0% / 2.4x	15.1% / 2.6x	14.6% / 2.9x
5.25%	16.8% / 1.9x	15.3% / 2.0x	14.4% / 2.2x	13.8% / 2.4x	13.6% / 2.7x
5.50%	14.1% / 1.7x	13.2% / 1.9x	12.9% / 2.1x	12.6% / 2.3x	12.5% / 2.5x
5.75%	11.4% / 1.5x	11.3% / 1.7x	11.3% / 1.9x	11.3% / 2.1x	11.5% / 2.3x
6.00%	8.7% / 1.4x	9.3% / 1.6x	9.8% / 1.7x	10.1% / 1.9x	10.6% / 2.2x

Sensitivity Analysis (Cont'd)

- With Lease-up Period being the most sensitive assumption and to avoid the risk of low or negative IRR (below 10%), the length of Lease-up Period is recommended to be shorter than 15 months

LTC	Hold Period				
21.6% / 2.7x	Yr 4	Yr 5	Yr 6	Yr 7	Yr 8
95.00%	32.0% / 3.0x	25.7% / 3.1x	22.8% / 3.4x	20.9% / 3.7x	19.6% / 4.1x
90.00%	32.0% / 3.0x	25.7% / 3.1x	22.8% / 3.4x	20.9% / 3.7x	19.6% / 4.1x
85.00%	32.0% / 3.0x	25.7% / 3.1x	22.8% / 3.4x	20.9% / 3.7x	19.6% / 4.1x
80.00%	32.0% / 3.0x	25.7% / 3.1x	22.8% / 3.4x	20.9% / 3.7x	19.6% / 4.1x
75.00%	31.8% / 3.0x	25.7% / 3.1x	22.8% / 3.4x	20.9% / 3.7x	19.6% / 4.1x
70.00%	28.3% / 2.7x	23.8% / 2.9x	21.2% / 3.1x	19.4% / 3.4x	18.3% / 3.7x
65.00%	25.5% / 2.5x	21.6% / 2.7x	19.4% / 2.9x	17.8% / 3.1x	16.9% / 3.4x
60.00%	23.4% / 2.3x	20.0% / 2.5x	18.0% / 2.7x	16.6% / 2.9x	15.7% / 3.1x
55.00%	21.6% / 2.2x	18.6% / 2.3x	16.8% / 2.5x	15.5% / 2.7x	14.8% / 2.9x
50.00%	20.1% / 2.1x	17.4% / 2.2x	15.8% / 2.4x	14.7% / 2.6x	14.0% / 2.8x

Lease Up Period	Hold Period				
21.6% / 2.7x	Yr 4	Yr 5	Yr 6	Yr 7	Yr 8
6 Months	26.1% / 2.5x	22.3% / 2.7x	20.0% / 3.0x	18.3% / 3.2x	16.9% / 3.4x
7 Months	25.8% / 2.5x	22.1% / 2.7x	19.8% / 2.9x	18.2% / 3.2x	16.8% / 3.4x
8 Months	25.5% / 2.5x	21.8% / 2.7x	19.6% / 2.9x	18.0% / 3.1x	16.7% / 3.4x
9 Months	25.3% / 2.5x	21.6% / 2.7x	19.3% / 2.9x	17.8% / 3.1x	16.6% / 3.3x
10 Months	25.0% / 2.4x	21.3% / 2.6x	19.1% / 2.8x	17.6% / 3.1x	16.5% / 3.3x
11 Months	24.7% / 2.4x	21.0% / 2.6x	18.9% / 2.8x	17.4% / 3.0x	16.4% / 3.3x
12 Months	25.5% / 2.5x	21.6% / 2.7x	19.4% / 2.9x	17.8% / 3.1x	16.9% / 3.4x
13 Months	23.3% / 2.3x	21.5% / 2.6x	19.3% / 2.9x	17.7% / 3.1x	16.8% / 3.4x
14 Months	19.0% / 2.0x	21.3% / 2.6x	19.1% / 2.8x	17.6% / 3.1x	16.7% / 3.3x
15 Months	14.1% / 1.7x	21.1% / 2.6x	18.9% / 2.8x	17.4% / 3.0x	16.5% / 3.3x
16 Months	8.6% / 1.4x	20.9% / 2.6x	18.8% / 2.8x	17.3% / 3.0x	16.4% / 3.3x
17 Months	2.0% / 1.1x	20.7% / 2.6x	18.6% / 2.8x	17.1% / 3.0x	16.3% / 3.3x
18 Months	-6.3% / 0.8x	20.5% / 2.5x	18.4% / 2.8x	17.0% / 3.0x	16.1% / 3.3x

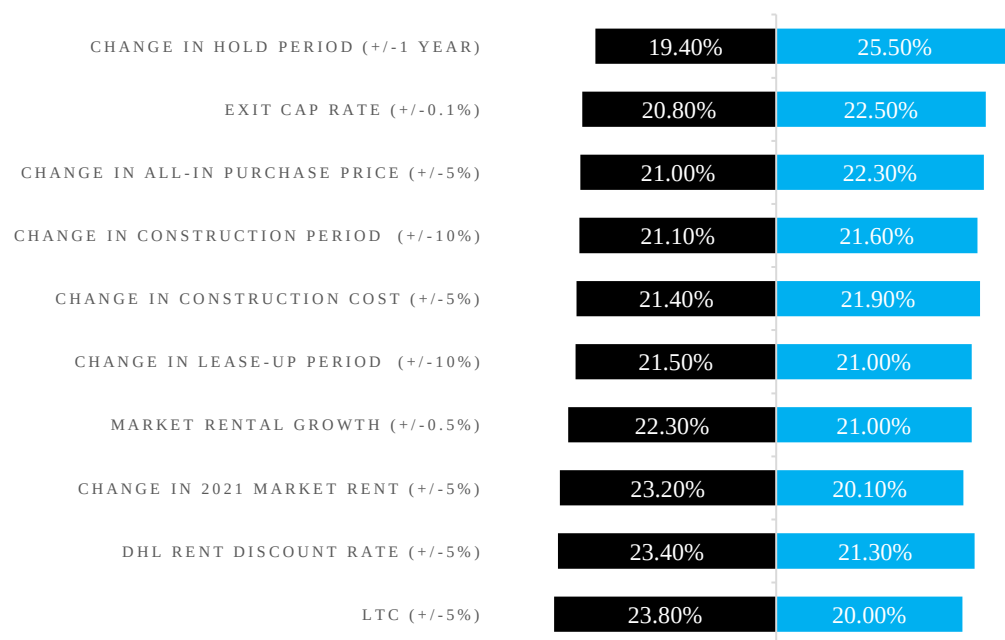
Tornado Chart

Influencing factors are evaluated under various assumptions and categorized into High, Moderate and Low Volatility based on the difference in % change of IRR

IRR UNDER VARIOUS ASSUMPTIONS

■ IRR under positive amount or % change per unit

■ IRR under negative amount or % change per unit



► HIGH VOLATILITY

- **Change in Hold Period** With 6.10% difference in IRR value per unit change, this is considered the most impactful factor on the performance of IRR amongst all

► MODERATE VOLATILITY

- **LTC & Change in 2021 Market Rent** With over 3% difference in IRR value per unit change respectively, the volatility level of these two factors are moderate
- **Exit Cap Rate, Market Rental Growth & Change in All-in Purchase Price** By our estimates, outcomes will be between 1.30% to 2.00%, thereby less volatile to IRR compared to LTC and change in 2021 Market Rent

► LOW VOLATILITY

- **Change in Lease-up Period, Construction Period & Construction Cost** Notably, the difference in IRR under these scenarios are equivalent to 0.5%, well indicating their least influence on IRR

Tornado Chart (Cont'd)

Construction Period and Lease-up Period experience the highest fluctuations in % change in response to the variation of IRR (+/-1%), while Construction Cost and Exit Cap Rate remain stable

% CHANGE OF EACH ASSUMPTION WHEN IRR +/- 1%

